

motion and all the papers upon which the motion is based. The Plaintiff's motion for Leave to File a First Amended Complaint was continued for a third time on the court's motion to March 27, 2026 at 9:00 a.m., Department 32.

As of March 26, 2026, Plaintiff has failed to file proof of service of all moving papers in support of the Motion for Leave to File a First Amended Complaint on the Defendants. The motion is denied on due process grounds, *i.e.*, failure to give the defendants notice and an opportunity to be heard, by failing to serve a code compliant notice of this motion on the Defendants.

PARTIES ARE TO TAKE NOTICE THAT NEXT CASE MANAGEMENT CONFERENCE IN THIS MATTER IS SET FOR APRIL 23, 2026, AT 8:30 A.M. IN DEPARTMENT 32. ALL PARTIES ARE TO FILE AND SERVE UPDATED CASE MANAGEMENT CONFERENCE STATEMENTS AT LEAST 10 CALENDAR DAYS IN ADVANCE OF APRIL 23, 2026.

4. 9:00 AM CASE NUMBER: C24-01208
CASE NAME: DOMONIQUE MEJIA VS. DA'TONJA RAMIREZ
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: MAINSTREAM ESCROW, INC.

TENTATIVE RULING:

On the Court's own motion, the hearing is continued to **9:00 a.m. on April 10, 2026.**

5. 9:00 AM CASE NUMBER: C24-01956
CASE NAME: JAMES MARITIME HOLDINGS, INC. VS. MATTHEW MATERAZO
***HEARING ON MOTION IN RE: LEAVE TO FILE AND AMENDED ANSWER AND FILE CROSS COMPLAINT**
FILED BY: MATERAZO, MATTHEW C.

TENTATIVE RULING:

Introduction

Before the Court is Defendant Matthew C. Materazo's ("Defendant")'s Motion for Leave of Court to Amend Answer and file two Cross Complaints. Defendant filed this motion on December 12, 2025. The Motion is opposed by Plaintiffs James Maritime Holdings, Inc. and Gladiator Solutions Inc.

Defendant Materazo seeks leave to file Exhibit A, an Amended Answer and seven crossclaims relating to Plaintiffs James Maritime Holdings, Inc. and Gladiator Solutions Inc. in the same document, as well as Exhibit B, a Cross-Complaint involving eleven new defendants containing eight causes of action.

The Court is unable to grant the motion at this time due to the procedural defects outlined below. As explained below, **the Court continues this motion to provide Defendant time to comply with the mandatory rules and statutes described in the Court's ruling. The Motion is continued to July 31, 2026, at 9:00 a.m. in Department 32. Defendant's papers are due 14 court days before the hearing**

and Plaintiffs' opposition, if any, are due 9 court days before the hearing.

Summary of Facts

The parties agree that this case concerns three parties and two narrow issues: whether Defendant Matthew Materazo ("Defendant") breached his fiduciary duties and is personally liable for merchant cash advance ("MCA") loans he took out under the name of Plaintiff Gladiator Solutions, Inc. ("Gladiator"), and whether Plaintiff James Maritime Holdings, Inc. ("Plaintiff" or "JMH") is entitled to cancel 500,000 shares of its company that were issued to Defendant as part of a 2021 Share Exchange Agreement. (Motion, Ex. B, ¶ 2 on p. 2; See also Opposition at p. 1: 2-12.)

Procedural Posture

In 2025, the Parties engaged in approximately five discovery disputes, four case management conferences and a failed challenge of the initial pleading.

For 2026, there are approximately three law and motion matters and a further case management conferences scheduled. No trial date has been set.

Legal Standard

It is well-established under California law that leave to amend is to be granted liberally, to accomplish substantial justice for both parties. (CCP § 473(a); *Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 488-89.) Indeed, "it is a rare case in which a court will be justified in refusing a party leave to amend his [or her] pleading so that he [or she] may properly present his [or her] case." (*Douglas v. Superior Court* (1989) 215 Cal.App.3d 155, 158.) "If the motion to amend is timely made and... granting...the motion will not prejudice the opposing party, it is error to refuse permission to amend." (*Morgan v. Sup. Ct.* (1959) 172 Cal.App.2d 527, 530.)

It is also a well-known policy of the law to permit amendments of pleadings liberally in order that litigation may be tried on its merits. (*Cardenas v. Ellston* (1968) 259 Cal App. 2d 232.) Courts are liberal in allowing amendments of complaints in order that, if possible, no litigant will be deprived of his day in court because of mere technicalities of pleading. (*Barr v. Carroll* (1954) 128 Cal. App. 2d 23.)

Where a proposed cross-complaint is compulsory — arising out of the same transaction as the plaintiff's claim — leave must be granted so long as the defendant is acting in good faith. (CCP § 426.50.)

Where a defendant seeks leave to file a permissive cross-complaint against the plaintiff, courts are generally inclined to grant leave unless doing so would interfere with the trial date or otherwise prejudice the action. (Weil & Brown, California Practice Guide: Civil Procedure Before Trial, ¶ 6:564 (Rutter Group).) But where, as here, a defendant seeks leave to file a cross-complaint against a third person not yet a party to the action, a greater showing of interest of justice is required. In this third category, the court is specifically concerned that the cross-complaint not unreasonably burden and complicate the plaintiff's lawsuit with new cross-actions and new third parties. (*Id.* at ¶ 6:565.)

Analysis

Exhibit A Amended Answer and Cross Claims are Procedurally Defective

Defendant Materazo's Exhibit A Amended Answer and Cross Claims is procedurally defective in two respects.

Cross Complaints and Answers Must Be Separate Documents

First, “[t]he cross-complaint shall be a separate document.” (Code Civ. Proc., § 428.40.) Exhibit A improperly combines Defendant Materazo’s Amended Answer and his Cross Claims against Plaintiff Gladiator Solutions, Inc. and James Maritime Holdings, Inc. (See Exhibit A pp. 1 and 9.)

The Amended Answer Did Not Comply with CRC Rule 3.1324

Second, Rule 3.1324(a) requires that a motion to amend must identify every proposed deletion and addition by page, paragraph, and line number. Defendant has filed a proposed amended pleading and asked the Court to approve it. This is insufficient and Defendant must comply with the applicable rules.

Rule 3.1324(b) requires a supporting declaration specifying: (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) why the request was not made earlier. Defendant Materazo’s declaration explained when the facts giving rise to the amendment were discovered and why the request was not made earlier, but the declaration did not touch on the effect of the amendment or why the amendment was necessary and proper. (See Materazo Declaration ¶¶ 3-7, Addendum 1 to Motion for Leave to Amend.) Defendant must address the effect of the amendment or why the amendment was necessary and proper.

Exhibit B Cross Complaint Arises Out of the Same Transactions or Occurrences as the Complaint

Defendant argues that the Cross-complaint with all the new parties with potential liability in Exhibit B arises from the same transactions or occurrences in this case. (Motion at p. 7: 12-15.) Defendant explains that the basis of the Exhibit B Cross-complaint is the 2021 negotiations between Elliot Foxcroft and Defendant Materazo for the sale of all Defendant Materazo’s shares of Plaintiff Gladiator in exchange for liquid stock at a higher valuation and a two-million-dollar infusion into Plaintiff Gladiator by Plaintiff James Maritime Holdings while Defendant Materazo continued to run Plaintiff Gladiator. (Motion at p. 7: 16-21.)

Plaintiffs James Maritime Holdings and Gladiator contend that Defendant’s Exhibit B does not arise out of the same transaction or occurrences because the promises alleged in Exhibit B are not in the 2021 Share Exchange Agreement, Exhibit B does not mention the integration in the 2021 Share Exchange Agreement, and that Defendant’s liability for the MCA loans is governed by specific contractual provisions in the Share Exchange Agreement which is unrelated to the other issues Defendant brought up in Exhibit B such as but not limited to whether Plaintiff’s public filings with the Securities and Exchange Commission contain material misrepresentations or omissions, or whether the acquisition of Defendant’s company was induced by fraudulent misrepresentations made in 2021.

Comparing the operative Complaint and Exhibit B it appears that both purport to arise out of the 2021 Share Exchange Agreement. The Complaint seeks to hold Defendant personally liable for MCA loans and claw back or cancel shares according to the Share Exchange Agreement. (Complaint at ¶¶ 7-21.) Exhibit B largely alleges that Defendant Materazo was fraudulently induced into the Shared Exchange Agreement and was a victim of breaches of contract and fiduciary duties. (Exhibit B at pp. 17-21.) Allegations of both pleadings are centered around the 2021 Share Exchange Agreement.

Greater Showing of Interest of Justice for a Cross Complaint against Third Parties

Plaintiffs' further argue that Defendant cannot make the greater showing of interest of justice required for a cross-complaint against third parties. (Opposition at p. 8: 6-10.) Plaintiffs rely on a citation from the Rutter Group Practice Guide for their position. However, the proposed Cross-Complaint involves the same business relationship and dealings as alleged in Plaintiff's Complaint; thus, the Cross-Complaint will not unreasonably burden or complicate Plaintiff's lawsuit. (*See Garcia v. Roberts* (2009) 173 Cal.App.4th 900, 910 [ordinarily, no prejudice will result from an amendment that is based on the same general set of facts].)

Plaintiff Must Combine His Crossclaims in Exhibit 1 with his Cross-Complaint in Exhibit B

Courts must be able to manage their dockets consistent with the demands of all matters pending before them and in such a way as to provide broad access to justice. Courts have "inherent equity, supervisory and administrative powers" to "control litigation before them" and these powers "are derived from the state Constitution and are not confined by or dependent on statute." (*Cottle v. Superior Court* (1992) 3 Cal.App.4th 1367, 1377.) Pursuant to these inherent powers, courts have been permitted to "fashion[] new forms of procedures when required to deal with the rights of the parties and to manage the caseload of the court." (*Id.* at p. 1377.)

To limit confusion and promote clarity, Plaintiff shall combine his proposed Cross Claims included in Exhibit 1 with his proposed Cross-Complaint in Exhibit B.

Conclusion

The Court is unable to grant this motion at this time due to the procedural defects outlined above. As analyzed above, **the Court continues this motion to provide Defendant time to comply with the mandatory rules and statutes described in the Court's ruling. The Motion is continued to July 31, 2026, at 9:00 a.m., Department 32. Defendant's papers are due 14 court days before the hearing and Plaintiffs' opposition, if any, are due 9 court days before the hearing.**

6. 9:00 AM CASE NUMBER: C24-02519
CASE NAME: SALLY NICHOLS, S.A. VS. COLLINS & ASSOCIATES, LLC
*HEARING ON MOTION IN RE:
FILED BY: NICHOLS, S.A., SALLY ANN
TENTATIVE RULING:

The **Plaintiffs'** unopposed motion to set aside the defaults taken against Defendants Collins & Associates, LLC and Cecil Andrew Collins is granted for good cause shown. **Plaintiffs** must file an amended complaint within ten days of this order.

7. 9:00 AM CASE NUMBER: C24-02701
CASE NAME: ALYSS DORESE VS. AIDEN CIANI
*HEARING ON MOTION IN RE: EXPUNGE THE NTC OF LIS PENDENS
FILED BY:
TENTATIVE RULING:

Defendant Aidan Ciani's motion to expunge the lis pendens recorded on December 31, 2025